Project Heron: Comprehensive Due Diligence Report

Draft for Investment Committee discussion

October 19, 2026

Target: Delmora Home Systems, Inc. (NASDAQ: DLHS). Proposed acquirer: Meridale Capital Partners Fund IV.

Fictional case study

Prepared by an AI multi-agent diligence system with human review

1. How to read this report

All companies, people and figures are fictional. Amounts are US$ millions unless stated. Finding IDs (`SEC-`, `NEWS-`, `LIT-`, `FIN-`, `X-`) link to the findings register in `memory/findings.md`. "Inference" and "projection" mark the diligence team's own reasoning. Allegations and rumors are labeled as such. Deal reference figures: equity value 1,283.8, enterprise value (EV) 1,543.4, 11.84x LTM Q2 2026 Adjusted EBITDA of 130.4, 52.4m diluted shares. 10% of EV is 154.3.

This report is a draft for human decision-makers. It is not investment, legal or accounting advice.

2. Executive summary

Bottom line

Proposed recommendation: Do not proceed at the current price of US$24.50 per share. Pause, and re-engage only on a re-priced and re-structured basis. The Investment Committee makes the decision.

The data room does not support the price. Two payments that this transaction itself triggers, the Pittock pension funding (230.5) and the Nimbus earn-out (90.0), total 320.5 (20.8% of EV) and are missing from the model. Deducting only those two items from management's own numbers takes implied value to about US$18.38 per share, below the US$18.70 unaffected price (X-018). On adjusted earnings and the full debt-like bridge, implied value is about US$12.73 per share, and lower again once the lost WSEA contract is removed (projection, X-018).

Top five red flags

1. **The change of control forces 230.5 of pension funding within 120 days** (X-001, Critical). Under the 2019 Pittock trust agreement, a change of control requires funding on a plan termination basis. Termination liabilities of about 522.0 against assets of 291.5 give a shortfall of 230.5 (14.9% of EV). The model assumes no pension adjustment.
2. **The largest customer has gone** (X-003, Critical). WSEA (rank 1, 96.0, 12.2% of FY2025 revenue) awarded its 2027 to 2031 program to Thermiq on July 21, 2026. Delmora's contract ends December 31, 2026, before the planned close. The Q2 10-Q filed 16 days after the award still says "We expect to be selected".
3. **The earnings base is overstated** (X-004, Critical). LTM Adjusted EBITDA is about 115.4, not 130.4, after removing the Aura and Calder add-backs and normalizing a warranty accrual cut. The effect is 177.5 at the deal multiple (11.5% of EV). This is just over the 10% line and rests on a 5.8 warranty estimate.
4. **Core technology and data rights are contested** (X-009, X-008, X-010, High). Calder claims ownership of all six AdaptiveComfort patents, with trial on February 8, 2027. Delmora's public defense conflicts with its own 10-K filing date. The named inventor and former CTO has left and has separate counsel. Insights, to which the deal team attributes about 310 of EV, rests on opt-out consent while a 2022 FTC order requires express consent for new uses, and the Colorado AG is suing.
5. **Contingent liabilities the brief calls contained or immaterial are large** (X-011, X-012, X-013, X-007, SEC-023, High). CPSC staff want a refund or replacement for 1.62m Aura units (up to 192.8 at full refund uptake), and the claims appear to fall within an insurance exclusion. Off-site groundwater contamination has been confirmed at the former Pittock plant. The IRS proposes 121.1 of tax and penalty against a 14.2

reserve. BIS has subpoenaed records on the Middle East distributor behind most FY2025 growth. The EC has issued a Statement of Objections (fine cap 78.6).

Positive and mitigating points

The fixed mitigant list was checked against the register and analyst reports:

- **Debt maturities:** the existing term loan (420.0) matures in June 2029, the 150.0 revolver is undrawn, and covenants have "substantial headroom" (SEC-040). The debt is refinanced at closing.
- **Customer retention:** Delmora Care gross revenue retention is stable at 92.8% to 93.4% (93.0% in H1 2026) (FIN-026).
- **Segments still growing:** Subscriptions & Services grew 23.5% in H1 2026; Insights revenue rose from 3.1 (FY2025) to 11.8 (H1 2026); Utility Programs excluding WSEA grew 12.5% in FY2025 (FIN-019, FIN-023, FIN-047).
- **Items correctly excluded from adjusted metrics:** the FY2025 Nimbus earn-out gain of 6.5 sits in other income and is excluded from EBITDA (FIN-008). The FY2023 restructuring (6.8) is complete and outside the LTM period (FIN-007, SEC-035). The WSEA advance is correctly held as a liability, not revenue (SEC-029).
- **Dismissed litigation:** the Brennan Sales Group commission claim (3.2) was dismissed with prejudice on January 22, 2026 (LIT-007, SEC-034).
- **Supply or price protections:** none found in the data room.
- Other supporting points: clean FY2025 audit and internal control opinions (SEC-036); the 23% effective tax rate assumption is supported (FIN-045); the DOE standby rule is industry-wide and only effective from January 2028 (NEWS-026); sales tax exposure is small and accrued (1.4, SEC-033).

Valuation implications

Case (projection, 11.84x)	EBITDA	Equity value	Per share
Offer	130.4	1,283.8	24.50
Management EBITDA, less the pension and Nimbus cash calls only (320.5)	130.4	963.3	18.38
Case B adjusted EBITDA, full debt-like bridge (699.2)	115.4	667.1	12.73
Case B less WSEA at the company average margin	99.9	483.5	9.23
Case B less WSEA at an assumed 30% margin	86.6	326.1	6.22

Not included, and each additional: contingent exposures of 43.1 to 468.8, a Calder royalty (upper bound 20.2 a year), peso cost not yet in LTM (17.0 to 18.7 a year) and the loss of Gulf Horizon revenue (X-018, FIN-051, FIN-052, FIN-049). Applying 11.84x to a smaller, more concentrated business is generous (inference).

3. Answers to the six IC questions

Q1. Quality of earnings and cash flow

No. Neither the 130.4 of LTM Adjusted EBITDA nor the 134.1 of H1 2026 operating cash flow is a sound base.

- Earnings: removing the Aura field action (6.0, a product quality cost while warranty claims doubled) and the Calder legal fees (3.2, recurring until the case ends) gives 121.2. Normalizing the Q4 2025 warranty accrual cut to the FY2024 rate removes a further 5.8, giving about 115.4 (X-004; FIN-001 to FIN-004, SEC-015). Add-backs are 23.2% of LTM Adjusted EBITDA. Stock-based compensation (17.6) is left in, as market practice (FIN-006).
- Forward base: the WSEA loss (X-003), the unhedged peso (17.0 to 18.7 a year not yet in LTM) and the gross margin fall to 39.4% (X-016) all reduce earnings further.
- Cash flow: 98.0 of the 134.1 is timing. Delmora moved its main contract manufacturer from 60 to 120 day terms from April 1, 2026 (64.0), and received a 34.0 WSEA advance for H2 2026 incentives. Underlying H1 2026 operating cash flow is 36.1, in line with H1 2025 (34.9) (X-005). DPO rose from 78 to 121 days.
- Adjustments needed: rebase EBITDA to about 115.4 before WSEA; treat 57.1 of excess payables and the 34.0 advance as debt-like; set a working capital peg (X-005, X-018).

Q2. Inherited liabilities

Meridale would inherit:

Item	Amount	Status	IDs
Pension termination-basis funding (within 120 days of closing)	230.5	Contractual, triggered by the deal	X-001
Nimbus earn-out (within ten business days)	90.0 (carried at 8.0)	Contractual, amended May 12, 2026	X-002
Excess payables and WSEA advance	91.1	Normalization	X-005
Recorded reserves (tax, environmental, field action)	28.0	On balance sheet	X-018
NEO severance (double-trigger)	up to 21.6 at US$18.70	Contingent on termination	SEC-037
IRS NOPA above reserve, before interest	up to 106.9	Under appeal	X-013
Environmental, unaccrued range plus residents' claim	about 107.0, plus monitoring and punitive damages	Off-site contamination confirmed	X-012
EC fine cap	up to 78.6	Statement of Objections	SEC-023
Ensamble Norte loan guarantee	63.4 unrecorded	Reported missed payment (rumor)	X-006
Aura refund at 25% to 50% uptake, net of reserve	43.1 to 91.3	CPSC staff request	X-011

Against the price, the contractual change-of-control items alone (320.5) are 25.0% of equity value and 20.8% of EV. The rebuilt net debt and debt-like total is 699.2 before contingencies, against 259.6 in the model (X-018).

Q3. Technology and data rights

Not established. Delmora's ownership of AdaptiveComfort and its right to use customer data as the growth plan assumes are both contested.

- **AdaptiveComfort title (X-009, High).** Calder claims all six patents, assignment, and a 4% royalty on thermostat net sales since 2019, and says it would license other manufacturers. The earliest provisional application was filed on March 6, 2017, during Dr. Reyes-Barrow's Calder fellowship (September 2014 to June 2017). Delmora's spokesperson says the algorithm was conceived after June 2017, which conflicts with that filing date (inference). The court denied Delmora's motion for judgment on the pleadings on limitations because the defense "turns on disputed facts"; the defense remains open. Trial is set for February 8, 2027. The royalty upper bound is 20.2 a year on LTM Devices revenue (FIN-051); no source splits thermostats from sensors and hubs.
- **Key person (X-010, High).** The named inventor gave notice on July 27, 2026, three days before that ruling, and has had separate counsel since August 20. The 8-K says there was "no disagreement" and does not mention Calder.
- **Open source (LIT-006, Medium).** The Open Firmware Conservancy sued on September 10, 2026 under GPLv2, and says the `ac-runtime` AdaptiveComfort code must be released (allegation, NEWS-009).
- **Insights data (X-008, High).** Insights enrolls subscribers by opt-out under updated terms. The 2022 FTC order requires affirmative express consent for sharing covered information beyond the purposes disclosed at collection. Delmora calls the data "aggregated and de-identified". The Ledger identified the household behind 61% of records in a test area. The Colorado AG seeks an opt-in injunction for Colorado households, and its complaint states the FTC is investigating order compliance (allegation). About 310 of EV (20.1%) is attributed to Insights; no source sizes the loss.
- **Tax on the same IP (X-013).** The IRS says the 2019 transfer of the same rights to Ireland was undervalued by 412.0.

OEM licensing (thesis point 2) should not be valued until title and consent are resolved.

Q4. Regulatory, trade and legal exposure

Matters that could delay or block closing or impair the business:

- **Export controls (X-007, High).** BIS subpoenaed records on June 24, 2026 about shipments to a UAE distributor, and Delmora suspended shipments to it. Gulf Horizon Trading FZE (Dubai, rank 4, 38.6) supplied 71.9% of FY2025 revenue growth; that it is the subpoenaed distributor is an inference. A trade newsletter reported diversion to Iran from two anonymous former employees (rumor). The Audit Committee held special trade compliance meetings on January 20, February 9 and February 23, 2026, before the 10-K said "We are not aware of any violations".
- **Product safety (X-011, High).** CPSC staff (letter dated August 28, 2026) made a preliminary substantial-hazard finding on 1.62m Aura units and seek a refund or replacement. Incident counts rose from 214 reports, 37 fires and 9 burn injuries (10-Q) to 296, 52 and 11. A consolidated class action is pending (motion to dismiss hearing November 18, 2026). The insurer has reserved all rights.
- **Privacy (X-008, High):** Colorado AG suit (answer due October 27, 2026) and possible FTC order action.
- **IP (X-009, High):** Calder trial February 8, 2027, inside the expected closing window.
- **Competition (SEC-023, High):** EC Statement of Objections of June 30, 2026 on cross-border online sales restrictions; reply due October 30, 2026; fines up to 10% of turnover (cap 78.6).
- **Environmental (X-012, High):** Ohio EPA sampling at about 60 homes due November 30, 2026 and a plume plan by December 15, 2026.
- **Tax (X-013, High):** IRS NOPA under appeal.

- **Labor (SEC-030, Medium):** the Reno CBA expired September 30, 2026 and 91% of votes cast authorized a strike; the contract has a successorship clause.
- **Shareholder vote (NEWS-021, Medium):** Tarnwood (6.2%) opposes US$24.50 and seeks at least US$30.

None is a merger-control issue, but the BIS matter and the Calder trial could each delay closing, and several dates fall between signing (November 30) and the planned Q1 2027 close.

Q5. Revenue durability

Weaker than the thesis assumes (X-015, High).

- **Utility Programs:** WSEA (96.0, 68.1% of the segment) ends December 31, 2026 and is lost (X-003). Segment growth slowed from 16.7% (FY2023) to 4.3% (H1 2026), below the 6% model assumption (FIN-022). Without WSEA the segment base is about 45.0; Utility Programs excluding WSEA did grow 12.5% in FY2025 (FIN-047).
- **Distributors:** Gulf Horizon (38.6) is suspended. FY2025 growth excluding Gulf Horizon was 1.8% (X-007).
- **Devices:** growth slowed to 0.8% in H1 2026 (FIN-019).
- **Subscriptions:** retention is steady at about 93% (FIN-026), but Care revenue per subscriber fell from US$110.0 (FY2024) to US$101.9 (H1 2026 annualized) (FIN-025). Insights is growing but contested (X-008).
- Together, WSEA and Gulf Horizon are 134.6 (17.1% of FY2025 revenue) at risk.

Q6. Price and protections

US$24.50 is not supportable on the data room (X-018, Critical). Even before any earnings adjustment, the two contractual cash calls take implied value to about US$18.38. On Case B with the full bridge, about US$12.73; less WSEA, US$6.22 to US$9.23 depending on its margin (projection). Financing is also short: with the pension and Nimbus payments, uses rise to 2,024.3 and sponsor equity to 1,024.3 (+45.5%); the TLB is 7.8x Case B (X-017). See section 7 for the proposed protections.

4. Risk matrix

One row per distinct issue. The parent ID is first, with supporting IDs in brackets. Neutralized risks and mitigants are listed in section 2 and do not get rows.

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-001 [SEC-001, SEC-002, NEWS-018, FIN-012, FIN-054]	Pension must be funded on a termination basis within 120 days of a change of control: shortfall 230.5. Test met: more than 10% of value (14.9% of EV; 11.5% after tax)	Cross-source	Critical	High	Debt-like; financing	Price: deduct dollar for dollar. Structure: agree funding with the plan fiduciary before signing

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-003 [NEWS-010, SEC-028, FIN-021, FIN-046, FIN-047, FIN-048]	WSEA (rank 1, 96.0) awarded to Thermiq Jul 21; contract ends Dec 31, 2026; 10-Q of Aug 6 still expects selection. Test met: more than 10% of value at any WSEA margin above 13.6%; 183.7 (11.9% of EV) at the company margin (inference)	Cross-source	Critical	High	Earnings base; disclosure	Price: remove WSEA from 2027 earnings. Representation on customer contracts
X-004 [FIN-001, FIN-002, FIN-003, FIN-004, FIN-005, FIN-006, SEC-015, SEC-041, NEWS-024]	LTM Adjusted EBITDA about 115.4, not 130.4. Test met: more than 10% of value (177.5, 11.5% of EV), resting on a 5.8 warranty estimate	Cross-source	Critical	Medium	Price and debt sizing	Price on 115.4; quality of earnings review of warranty methodology
X-018 [FIN-013, FIN-016, FIN-056, FIN-065, FIN-066]	Debt-like bridge 699.2 vs 259.6; value US$12.73 on Case B; US$18.38 with only the two cash calls. Test met: more than 10% of value (cash calls 20.8% of EV)	Cross-source	Critical	Medium	Price	Re-price; do not proceed at US$24.50
X-009 [LIT-002, SEC-006, SEC-007, NEWS-008, FIN-051]	Calder claims all AdaptiveComfort patents and a 4% royalty; trial Feb 8, 2027; Delmora's defense conflicts with its 2017 filing date	Cross-source	High	Medium	Technology title; OEM thesis	Condition: settlement or license from Calder; escrow; no value for OEM licensing
X-008 [SEC-026, SEC-027, NEWS-005, NEWS-006, LIT-003, LIT-012, FIN-023]	Insights consent is opt-out under an FTC order requiring express consent for new uses; Colorado AG suit; FTC inquiry alleged	Cross-source	High	Medium	About 310 of EV exposed	Further diligence on the FTC order; consent remediation plan; specific indemnity
X-011 [SEC-011, SEC-012, SEC-013, SEC-014, LIT-001, LIT-008, LIT-009, LIT-010, NEWS-001, NEWS-002, NEWS-003, NEWS-004, FIN-039, FIN-064]	Aura: 6.0 kit reserve vs CPSC staff request for refund or replacement on 1.62m units (up to 192.8); claims appear excluded from cover	Cross-source	High	Medium	Contingent liability; reputation	Specific indemnity or escrow sized to a recall scenario; MAE definition

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-002 [SEC-003, SEC-004, SEC-005, FIN-024, FIN-055]	Nimbus earn-out amended during the sale process: 90.0 due on closing vs 8.0 carried; CDO receives about 30.6	Cross-source	High	High	Closing cash	Price: deduct 82.0 more; governance review of the amendment
X-005 [SEC-017, FIN-009, FIN-010, FIN-011, FIN-014, FIN-058, NEWS-014]	H1 2026 operating cash flow includes 98.0 of timing; underlying 36.1	Cross-source	High	High	Net debt; cash at close	Working capital peg; excess payables and WSEA advance as debt-like
X-006 [SEC-018, SEC-019, NEWS-013, NEWS-015, FIN-059]	Ensamble Norte: 64.0 guarantee; reported missed loan payment (rumor); April terms stretch	Cross-source	High	Medium	Contingent debt; supply	Condition: lender standstill or waiver; guarantee as debt-like
X-007 [SEC-024, SEC-025, NEWS-011, NEWS-012, FIN-020, FIN-049, FIN-050]	BIS subpoena; UAE distributor suspended; Gulf Horizon was 71.9% of FY2025 growth; diversion alleged (rumor)	Cross-source	High	Medium	Penalties; revenue; closing timing	Condition: trade compliance review outcome; special indemnity
X-012 [SEC-022, LIT-004, LIT-013, NEWS-016, NEWS-017, FIN-036, FIN-062]	Off-site TCE confirmed; accrual at the low end (9.0 of 9.0 to 71.0); residents claim 45.0	Cross-source	High	High	Contingent liability	Environmental indemnity or escrow; sampling results before signing
X-013 [SEC-009, SEC-010, FIN-035, FIN-061]	IRS NOPA 121.1 before interest vs 14.2 reserve	Cross-source	High	High	Tax liability	Specific tax indemnity or escrow
SEC-023 [LIT-005, FIN-063]	EC Statement of Objections; fine cap 78.6; reply due Oct 30	SEC filings	High	High	Fine; distribution changes	Indemnity; outside counsel fine estimate
X-010 [SEC-008, LIT-011]	Named inventor and former CTO left; separate counsel; 8-K says no disagreement	Cross-source	High	Medium	Litigation defense; technology	Condition: cooperation and IP confirmation agreement
X-016 [SEC-016, FIN-017, FIN-018, FIN-052, FIN-053, NEWS-023]	Gross margin 42.5% to 39.4%; peso unhedged; 42% assumption unsupported	Cross-source	High	High	Earnings	Price on current margin; hedging policy at close
X-015 [FIN-019, FIN-022, FIN-025]	Revenue durability: 134.6 (17.1%) at risk; Devices +0.8%	Cross-source	High	High	Growth thesis	Rebase revenue plan

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-017 [FIN-015, FIN-042, FIN-044, FIN-067, FIN-068, FIN-069]	Cash calls outside sources and uses; sponsor equity +45.5%; TLB 7.8x Case B	Cross-source	High	Medium	Financing	Re-size equity and debt; revolver
X-014 [SEC-039]	Nine public statements or dated judgments overtaken within weeks to months	Cross-source	High	High	Reliance on management	Strong warranties; confirmatory diligence; no reliance on management answers without documents
X-020	All 8 deal brief model assumptions contradicted at least in part	Cross-source	High	High	Model	Re-underwrite the model
LIT-006 [NEWS-009]	GPLv2 suit claims AdaptiveComfort hub code must be released	Litigation	Medium	Medium	Technology	Open source code scan
SEC-037 [FIN-057]	Double-trigger severance up to 21.6 at US$18.70	SEC filings	Medium	High	Transaction cost	Recompute at US$24.50; retention plan
SEC-030 [NEWS-019, NEWS-020]	Reno CBA expired; 91% strike vote; successorship clause	SEC filings	Medium	High	Q4 distribution	Integration plan; monitor bargaining
NEWS-021	Tarnwood (6.2%) opposes US$24.50	News	Medium	High	Shareholder vote	Monitor; voting analysis
FIN-034	Goodwill and intangibles 48.0% of assets; Nimbus impairment indicator	Financial	Medium	Medium	Accounting	Request impairment test date and results
SEC-042	Revenue recognition policies not in the excerpts	SEC filings	Medium	High	Revenue quality	Request policies (distributors, bundles, Insights)
SEC-039 [NEWS-027]	CFO 10b5-1 plan adopted six days before EC inspections	SEC filings	Medium	High	Reputation	Review Form 4 filings
X-019 [FIN-029]	Named parties: ranks and amounts	Cross-source	Low	High	Reference	None
SEC-033	Sales tax VDAs, 1.4 accrued	SEC filings	Low	High	Minor	None

5. Workstream detail

5.1 SEC filings

- **Pension (SEC-001, SEC-002):** the 10-K Note 11 trust agreement forces termination-basis funding within 120 days of a change of control (about 522.0 liabilities, 291.5 assets). The accounting deficit is 154.5 (FY2025), part of the same shortfall. The "no required minimum contributions before 2029" statement is on the ongoing basis only.
- **Nimbus earn-out (SEC-003 to SEC-005):** amended May 12, 2026 (8-K of May 14), 62 days after the Strategic Review Committee formed. Fair value kept at 8.0 at June 30 because a change of control was "not probable", while the sale process was running. The proxy says the Audit Committee reviews earn-out amendments; the 8-K records only board approval.
- **IP (SEC-006, SEC-007):** the 10-K says Delmora believes it owns all material IP and gives a March 6, 2017 priority date; it does not mention Calder.
- **CTO (SEC-008):** notice on July 27, effective September 30; consulting to March 31, 2027 at US$40,000 a month.
- **Tax (SEC-009, SEC-010):** May 2026 NOPA on the 2019 Irish transfer (tax about 86.5, proposed penalty 34.6, plus interest); UTP 14.2. Delmora has protested to Appeals and expects its position to be sustained.
- **Aura (SEC-011 to SEC-014):** 6.0 kit reserve (1.62m x US$3.70), 5.1 remaining; insurance renewed March 1, 2026 at half the limit with a pre-2024 battery exclusion; class action filed July 15, 2026 with no accrual. The 10-K had called the matter not material.
- **Warranty and FX (SEC-015, SEC-016):** accrual rate cut in Q4 2025 (FY2025 warranty expense down 5.4); peso hedging stopped in Q3 2025; sensitivity about 28 per 10% peso move.
- **Cash flow and the JV (SEC-017 to SEC-019):** 64.0 from 120-day terms with Ensamble Norte; 34.0 WSEA advance; 64.0 guarantee of Ensamble debt with 0.6 recorded.
- **Environmental (SEC-022):** low-end accrual of 9.0 of a 9.0 to 71.0 range; off-site migration named as the swing factor.
- **EC, BIS and trade compliance (SEC-023 to SEC-025):** Statement of Objections June 30, 2026; BIS subpoena June 24, 2026; Audit Committee special meetings in January and February 2026 before the 10-K's "not aware of any violations".
- **Insights (SEC-026, SEC-027):** opt-out enrollment; FTC order terms; H1 2026 run rate 23.6 (projection) against the 40.0 ARR earn-out threshold.
- **WSEA (SEC-028):** "We expect to be selected" in a 10-Q filed after the award to Thermiq.
- **Governance and other:** Reno CBA expiry (SEC-030); double-trigger severance (SEC-037); CFO 10b5-1 plan timing (SEC-039); no Adjusted EBITDA reconciliation or revenue recognition policies in the excerpts (SEC-041, SEC-042). Mitigants: clean audit (SEC-036), debt to 2029 (SEC-040), restructuring complete (SEC-035), WSEA advance correctly a liability (SEC-029), Brennan dismissed (SEC-034).

5.2 News and media

Source quality varies, and each item is rated in the analyst report.

- **High or medium-high reliability:** WSEA award to Thermiq (NEWS-010, board vote and published evaluation); CPSC staff letter and refund push (NEWS-001 to NEWS-003, letter seen by the outlet); Ohio

EPA off-site confirmation (NEWS-016); The Ledger's Insights re-identification analysis (NEWS-005).

- **Interested parties:** Calder (NEWS-008), the Open Firmware Conservancy (NEWS-009), Tarnwood (NEWS-021, an activist with 6.2%), the Pittock retiree group (NEWS-018, now corroborated by the 10-K), the Reno union (NEWS-019, NEWS-020).
- **Rumors and anonymous sources:** diversion to Iran (NEWS-011); FTC staff contact in July 2026 (NEWS-006); Ensamble Norte's missed payment (NEWS-013); CFO share sales (NEWS-027, apparently under a 10b5-1 plan).
- **Other:** Westerville fire (NEWS-004); Ensamble strike and 14% wage rise (NEWS-015); margin helped by a weak peso (NEWS-023); "lower warranty costs" narrative (NEWS-024); Middle East revenue jump (NEWS-012); DOE standby rule (NEWS-026).
- No share price data after February 27, 2026 is in the news, apart from the US$18.70 unaffected average.

5.3 Litigation

Matter	Posture	Exposure	Next date	IDs
Aura battery class action (N.D. Ill.)	Consolidated Sep 2, 2026; motion to dismiss briefed	Refund or replacement for about 1.62m units, property damage, punitive damages	Hearing Nov 18, 2026	LIT-001, LIT-008 to LIT-010
Calder v. Delmora and Reyes-Barrow (Mass. Super. Ct.)	Discovery; pleadings motion on limitations denied Jul 30	Ownership of six patents; 4% royalty since 2019	Deposition Oct 28; trial Feb 8, 2027	LIT-002, LIT-011
Colorado AG v. Delmora (Denver)	Answer not yet filed	Opt-in injunction, deletion, penalties up to US$20,000 per violation	Answer due Oct 27, 2026	LIT-003, LIT-012
Pruett v. Delmora and Pittock (Ohio)	Defendants appeared Oct 2	45.0 claimed, plus monitoring and punitive damages	Case conference Nov 5, 2026	LIT-004, LIT-013
EC Case AT.40977	Statement of Objections Jun 30, 2026	Fine up to 10% of turnover	Reply due Oct 30, 2026	LIT-005 (parent SEC-023)
Open Firmware Conservancy v. Delmora (N.D. Cal.)	Pending	Not stated	Case conference Dec 3, 2026	LIT-006
Brennan Sales Group v. Delmora (D. Nev.)	Dismissed with prejudice Jan 22, 2026	3.2 claimed	None	LIT-007 (mitigant)

The insurer (Harborline) has reserved all rights on the Aura claims (LIT-008). The CPSC staff letter of August 28, 2026 is on the Aura docket (LIT-009). Plaintiffs allege an internal tracker logged 58 incidents by end 2024 (allegation, LIT-010). No securities suit, merger challenge, pension, earn-out or trade matter is in the litigation records.

5.4 Financial analysis

Key metric	FY2024	FY2025	H1 2026	LTM Q2 2026
Revenue	738.0	786.0	394.0	807.0
Devices / Subscriptions & Services / Utility Programs	489 / 121 / 128	503 / 142 / 141	238 / 84 / 72	505 / 158 / 144

Key metric	FY2024	FY2025	H1 2026	LTM Q2 2026
Gross margin	41.8%	42.5%	39.4%	41.1%
Reported EBITDA	102.5	116.1	36.8	100.2
Company Adjusted EBITDA	121.7	133.7	58.0	130.4
Adjusted EBITDA, Case B (diligence)				115.4
Operating cash flow	76.9	86.6	134.1	185.8
Underlying operating cash flow (H1)			36.1	
DPO (days)	76	78	121	
Net debt (reported)	415.5	380.6	259.6	
Warranty claim rate	2.2%	3.4%	4.7%	
Care gross retention	93.1%	93.4%	93.0%	
WSEA revenue (rank 1)	88.0	96.0	not given	
Gulf Horizon revenue (rank 4)	4.1	38.6	not given	

- **Add-backs (FIN-001 to FIN-006):** SBC 17.6, transaction costs 3.4, Aura 6.0, Calder 3.2. The Aura and Calder items are operating costs; the transaction costs recur in three of five periods.
- **Working capital (FIN-009 to FIN-011, FIN-014, FIN-058):** payables up 64.0 to 121 days; prepayments up 34.0 (the WSEA advance). Underlying cash is about 69.3 against the 100.0 to be used.
- **Customers (FIN-020, FIN-021, FIN-029):** top 8 customers are 44.1% of FY2025 revenue; WSEA 12.2%; Gulf Horizon 4.9% and 71.9% of FY2025 growth.
- **Leverage (FIN-015, FIN-068):** the 900.0 TLB is 6.9x company Adjusted EBITDA, 7.8x Case B and 9.0x Case B less WSEA at the company margin.
- **Other:** pension obligation 151.0 on the balance sheet (FIN-012); goodwill and intangibles 609.0 (48.0% of assets) (FIN-034); peso hedge cover 0% and a cost headwind of about 17.1 already in H1 2026 (FIN-018, FIN-052); the deal brief's EV leaves out the 8.0 earn-out it calls debt-like (FIN-056).

6. Cross-source insights

What combining the sources revealed that no single source showed:

1. **A filing made after an event it does not mention (X-003).** The WSEA award to Thermiq is only in a trade publication. The 10-Q filed 16 days later still says "We expect to be selected". Only the customer file shows WSEA is the largest customer (96.0).
2. **The company's own filing date undercuts its public defense (X-009).** The spokesperson's "after June 2017" conception claim (news) conflicts with the March 6, 2017 priority date (10-K) and the fellowship dates (proxy).
3. **The pension cash call (X-001).** A retiree group's claim in a local paper is confirmed by a single paragraph in 10-K Note 11; neither the deal brief nor the balance sheet shows it.
4. **Cash flow, the JV and the guarantee (X-005, X-006).** The 10-Q's 120-day terms, the proxy's naming of Ensamble Norte as the main contract manufacturer, a Monterrey report that the JV's largest customer

moved to 120 days in April, and the 10-K's 64.0 guarantee together show that Delmora's cash gain may have moved strain onto a JV it guarantees (inference).

5. **Middle East growth and export controls (X-007).** The customer file shows one distributor drove most FY2025 growth; the 10-K names it; the 10-Q reports a BIS subpoena on a UAE distributor; the proxy shows a trade review began before the 10-K's clean statement; a newsletter alleges diversion (rumor).
6. **Aura timeline (X-011).** Public reports (January), the 10-K's "not material" (February 26), the insurance exclusion (March 1), the field action (April 21), the 10-Q counts and the later CPSC counts, read together, show a matter that is growing, not contained.
7. **Dated accounting judgments now in doubt (X-014, X-012, X-013, X-002):** the low-end environmental accrual (as of December 31, 2025) after off-site confirmation in September 2026; the earn-out "not probable" judgment (June 30, 2026) during a sale process; the 12-month tax judgment (February 2026) before the May NOPA; the Q4 2025 warranty accrual cut while claim rates rose to 4.7%. The goodwill test date is not in the data room, so that judgment could not be tested; no share price data after the test date is available beyond the US$18.70 unaffected average.
8. **Trends combined:** revenue durability (X-015) and margins (X-016) each draw on three or more findings.
9. **Named parties (X-019):** WSEA rank 1 (96.0), HomeCrest rank 2 (84.0), Parcelline rank 3 (66.5), Gulf Horizon rank 4 (38.6), Cascadia rank 5 (23.5), Vierhaus rank 6 (19.0), Northway rank 7 (16.8), Bellmark Mutual rank 8 (1.9, the named Insights insurer partner). Thermiq, Calder, Ensamble Norte, Grupo Arceo, Harborline, the Open Firmware Conservancy, Brennan, Tarnwood and the regulators are not listed customers.
10. **Deal brief assumptions (X-020):** all eight model assumptions in section 4 of the brief are contradicted at least in part; only the 23% tax rate holds. The WSEA renewal and Middle East growth in the thesis are also stale.

7. Recommended deal protections and price considerations

Price. Do not proceed at US$24.50. Any revised proposal should:

- start from adjusted EBITDA of about 115.4, then remove WSEA from 2027 and reflect current gross margins and the unhedged peso;
- deduct the pension termination shortfall (230.5) and the full Nimbus payment (90.0), the excess payables (57.1) and the WSEA advance (34.0) dollar for dollar;
- give no value to OEM licensing and only limited value to Insights until title and consent are resolved.

Conditions before signing or to closing:

1. A settlement, license or covenant not to sue from Calder, or a court ruling on title (X-009).
2. A cooperation and IP confirmation agreement from Dr. Reyes-Barrow (X-010).
3. Written agreement with the pension plan fiduciary on the funding amount and timing (X-001).
4. A completed trade compliance review, a decision on voluntary self-disclosure, and no adverse BIS action (X-007).
5. A standstill or waiver from the Ensamble Norte lenders (X-006).
6. Ohio EPA vapor intrusion results (due November 30, 2026) and an updated remediation estimate (X-012).
7. An Insights consent remediation plan reviewed against the 2022 FTC order (X-008).

Specific indemnities or escrow: Aura recall scenario and product claims (X-011); environmental (X-012); IRS NOPA including interest (X-013); EC fine (SEC-023); Insights privacy penalties (X-008); export control penalties (X-007).

Structure: a working capital peg that treats excess payables and the WSEA advance as debt-like (X-005); sources and uses re-sized for the cash calls, with a revolver kept in place (X-017); an MAE definition that addresses a CPSC recall and the Calder outcome; a review of the Nimbus amendment and its approval (X-002); strong representations on customer contracts, regulatory matters and litigation disclosure (X-014). Representation and warranty insurance is likely to exclude known matters (inference), so specific protections are needed.

8. Open questions and management request list

1. **Pension:** the 2019 trust agreement; an updated termination-basis estimate; any fiduciary discussions.
2. **Nimbus:** Amendment No. 2; Audit Committee review; the claims released; the reason for the timing.
3. **WSEA:** award status and any protest; WSEA revenue and margin for FY2025 and H1 2026; terms of the 34.0 advance.
4. **Aura:** the CPSC letter and Delmora's response; uptake assumptions; the Thermal Event Tracker; insurer coverage position and the earlier policy.
5. **Calder:** Reyes-Barrow's Calder IP policy acknowledgment, invention records and assignment chain; settlement or license talks; thermostat revenue within Devices since 2019.
6. **Insights:** consent screens and terms; the FTC order and assessments; any FTC contact or civil investigative demand; ZIP+4 methodology; partner contracts (Bellmark Mutual).
7. **Export controls:** Audit Committee review findings; BIS subpoena scope; any voluntary self-disclosure; Gulf Horizon receivables and end users.
8. **Ensamble Norte:** guarantee terms; loan status after September 30; payables owed at June 30.
9. **Environmental:** sampling results; plume work plan; any Pittock seller indemnity.
10. **Tax:** NOPA interest; UTP allocation; Appeals timeline.
11. **Accounting:** Adjusted EBITDA definition; revenue recognition policies; warranty methodology change; goodwill impairment test date and results; H1 2025 warranty and Insights figures.
12. **Financing:** credit agreement change-of-control and prepayment terms; TLB EBITDA definition and pricing; revolver after refinancing.
13. **Other:** Reno CBA status; peso hedging policy; DOE final rule compliance; the OFC complaint and an open source code scan; severance at US$24.50; the date and source of the press leak of the sale talks.

9. Appendix

9.1 Methodology

- **Architecture:** a lead agent coordinated four read-only specialist subagents (SEC filings, news and media, litigation, financial analysis) and a citation verifier, using only the files in `targets/heron/data/`. Working memory in `memory/` holds the plan, the findings register, open questions, key metrics, every analyst and verifier report unedited, and a timestamped run log.

- **Iterations:** 2 of 3 used. Iteration 1: all four analysts in parallel (129 findings). Iteration 2: a narrow follow-up to the financial analyst with facts from the other sources (24 findings). The lead created 20 cross-source `X–` findings. No third iteration: the remaining gaps are not in the data room.
- **Checkpoint log:**

Checkpoint	What was shown	Decision
1. Approve the plan	Process slip: the plan summary was not printed in chat before the question (plan in `memory/plan.md`); logged as such	"approve"
2. Review red flags	Critical and High table with severity tests, conflicts, open items, proposal	"proceed"
3. Sign off	Verification results and draft recommendation	"approve report"

- **Verification statistics:** 151 findings checked in four parallel verifier runs (all Critical, High and Medium, plus 20 Low findings cited as mitigants, closed matters or reference data). 98 Verified (64.9%), 53 Partially verified (35.1%), 0 Rejected. By batch: SEC 28/9/0; News and Litigation 27/10/0; Financial 36/21/0; cross-source 7/13/0. All partially verified findings were rewritten with the verifier's wording. Severity changes after verification: X-008, X-009, SEC-006, SEC-026, LIT-002 and NEWS-001 from Critical to High; SEC-041 from Medium to Low.
- **Prompt injection:** no source file contained text attempting to instruct the agents.

9.2 Index of verified findings

- **Critical:** X-001, X-003, X-004, X-018, SEC-001, NEWS-018, FIN-001, FIN-013, FIN-046, FIN-054, FIN-065, FIN-066.
- **High:** X-002, X-005, X-006, X-007, X-008, X-009, X-010, X-011, X-012, X-013, X-014, X-015, X-016, X-017, X-020; SEC-002, SEC-003, SEC-006, SEC-008, SEC-009, SEC-011, SEC-012, SEC-016, SEC-017, SEC-022, SEC-023, SEC-024, SEC-025, SEC-026, SEC-028; NEWS-001, NEWS-002, NEWS-003, NEWS-005, NEWS-006, NEWS-008, NEWS-010, NEWS-011, NEWS-013, NEWS-014, NEWS-016; LIT-001, LIT-002, LIT-003, LIT-004, LIT-008, LIT-009, LIT-010, LIT-011, LIT-012, LIT-013; FIN-002, FIN-003, FIN-009, FIN-010, FIN-011, FIN-012, FIN-014, FIN-015, FIN-016, FIN-017, FIN-018, FIN-020, FIN-021, FIN-047, FIN-048, FIN-049, FIN-051, FIN-052, FIN-055, FIN-058, FIN-059, FIN-061, FIN-062, FIN-063, FIN-064, FIN-067, FIN-068, FIN-069.
- **Medium:** SEC-004, SEC-005, SEC-007, SEC-010, SEC-013, SEC-014, SEC-015, SEC-018, SEC-019, SEC-027, SEC-030, SEC-037, SEC-039, SEC-042; NEWS-004, NEWS-009, NEWS-012, NEWS-015, NEWS-017, NEWS-019, NEWS-021, NEWS-023, NEWS-024; LIT-005, LIT-006; FIN-004, FIN-005, FIN-006, FIN-019, FIN-022, FIN-023, FIN-024, FIN-025, FIN-034, FIN-039, FIN-042, FIN-050, FIN-053, FIN-057.
- **Low (verified):** X-019; SEC-029, SEC-033, SEC-034, SEC-035, SEC-036, SEC-040, SEC-041; NEWS-020, NEWS-026, NEWS-027; LIT-007; FIN-007, FIN-008, FIN-026, FIN-029, FIN-035, FIN-036, FIN-044, FIN-045, FIN-056.

Rejected findings: none.

9.3 Findings not verified (Low only)

Each of the following is **not verified**: SEC-020 (purchase commitments 118.0), SEC-021 (director's past link to Grupo Arceo), SEC-031 (DOE compliance stated against proposed limits), SEC-032 (standard open source risk factor), SEC-038 (FY2025 bonus at 112% of target), SEC-043 (strategic review and shareholder base), NEWS-007 (Insights enrollment and revenue claims), NEWS-022 (press leak of sale talks), NEWS-025 (Q4 2025 results and guidance), LIT-014 (Pruett record date inconsistency), FIN-027 (overall customer concentration), FIN-028 (Bellmark Mutual as a new customer), FIN-030 (DSO stable), FIN-031 (inventory days improving), FIN-032 (deferred revenue growth normal), FIN-033 (G&A increase), FIN-037 (operating leases 41.0), FIN-038 (Ensamble equity investment), FIN-040 (headcount), FIN-041 (device units and price), FIN-043 (data integrity checks), FIN-060 (Ensamble investment impairment risk).

9.4 Source index

- `targets/heron/data/deal-brief.md`; `targets/heron/data/README.md`.
- SEC filings: `DLHS_10-K_FY2025_excerpts.md` (filed February 26, 2026); `DLHS_10-Q_Q2-2026_excerpts.md` (filed August 6, 2026); `DLHS_8-K_2026-05-14_nimbus-earnout-amendment.md`; `DLHS_8-K_2026-07-28_cto-transition.md`; `DLHS_DEF14A_2026_excerpts.md` (filed April 17, 2026).
- News (14 articles, January 14 to October 9, 2026): WCOV Columbus; Smart Home Insider; Open Firmware Conservancy blog; Boston Business Ledger; Energy Policy Daily; Gulf Trade Monitor; Utility Programs West; The Ledger Investigates; Consumer Safety Wire; Monterrey Economia; The Marlow Courier; Tarnwood Capital press release; Reno Gazette; StockTalk forum.
- Litigation: `docket_index.csv` (7 matters); case files LIT-001 (Aura), LIT-002 (Calder), LIT-003 (Colorado), LIT-004 (Pruett and Marlow groundwater).
- Financials: `income_statement.csv`, `balance_sheet.csv`, `cash_flow.csv`, `adjusted_ebitda_reconciliation.csv`, `revenue_quarterly.csv`, `revenue_by_customer.csv`, `kpis.csv`, `README.md`.

9.5 Limitations

- The data room holds excerpts, not complete filings, contracts or court records. Key documents are missing: the pension trust agreement, the Nimbus amendment, the CPSC letter, the FTC order, Calder's IP policy, the BIS subpoena, the Ensamble Norte loan, and the credit agreement.
- No segment margins, customer margins, thermostat revenue split or H1 2026 revenue by customer are available, so the WSEA, Gulf Horizon and Calder figures rely on stated assumptions.
- The pension termination estimate is dated December 31, 2025. The IRS interest and several contingent ranges are not quantified.
- Management presentations of September 29 and 30, 2026 are not in the data room and were not relied on.
- No share price data after the US$18.70 unaffected average is available.
- Several items rest on anonymous or interested sources and are labeled as allegations or rumors.
- Valuation cases are projections at the deal multiple and are not a fairness opinion.
- This is a draft prepared by an AI multi-agent system with human review at three checkpoints. It is not investment, legal or accounting advice.